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A REPORT

TO THE

NATIONAL SECURITY COUNCIL

by

THE SECRETARY OF DEFENSE

on

THE POSITION OF THE UNITED STATES WITH RESPECT TO FORMOSA

August 22, 1949

WASHINGTON

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Auth: EO 11652
Date: 23 NOV 1973
By: Jeanne W. Davis
NATIONAL SECURITY COUNCIL

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NSC 37/7

August 22, 1949

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NOTE BY THE EXECUTIVE SECRETARY

to the

NATIONAL SECURITY COUNCIL

on

THE POSITION OF THE UNITED STATES WITH RESPECT TO FORMOSA

References:
A. NSC 37 Series
B. Memo for NSC from Executive Secretary, subject, "The Strategic Importance of Formosa", dated April 4, 1949
C. NSC Progress Reports by the Department of State on Implementation of NSC 37/2 and NSC 37/5, dated April 11, May 18, and August 19, 1949.

Pursuant to the recommendation by the Secretary of State contained in NSC 37/6, the Secretary of Defense was requested to obtain the advice of the Joint Chiefs of Staff as to the United States military interest in Formosa along the lines set forth in paragraph 7 of NSC 37/6.

The enclosed views of the Joint Chiefs of Staff on the subject are circulated herewith for the information of the National Security Council in reviewing the present policy in Formosa, as suggested by the Secretary of State in NSC 37/6.

The enclosure is also being referred to the National Security Council Staff for use in connection with the preparation of a report on United States Policy toward Asia, pursuant to NSC 48.

SIDNEY W. SOUERS
Executive Secretary

Distribution:
The President
The Vice President
The Secretary of State
The Secretary of Defense
The Chairman, National Security Resources Board

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THE JOINT CHIEFS OF STAFF
Washington 25, D.C.

17 August 1949

MEMORANDUM FOR THE SECRETARY OF DEFENSE:

Subject: The Position of the United States with Respect to Formosa.

In accordance with your memorandum, dated 9 August 1949, the Joint Chiefs of Staff submit the following comments, together with specific responses to the questions in NSC 37/6, a memorandum from the Secretary of State to the Executive Secretary, National Security Council, dated 4 August 1949, on the subject of "Current Position of the United States with Respect to Formosa".

The Joint Chiefs of Staff have, as requested, reviewed their memorandum, dated 10 February 1949,* and their clarifying memorandum of 22 March 1949,** both on the strategic importance of Formosa. They remain of the opinion that Formosa is strategically important to the United States for the reasons set forth in the second and third paragraphs of their memorandum of 10 February 1949. Since that date, the continuing sweep of Communist conquest in China has strengthened this view.

The Joint Chiefs of Staff, however, must reaffirm their earlier opinion that the strategic importance of Formosa does not justify overt military action, in the event that diplomatic and economic steps prove unsuccessful to prevent Communist domination, so long as the present disparity between our military strength and our global obligations exist, a disparity that may well increase as a result of budgetary limitations and the commitments implicit in the North Atlantic Treaty.

Therefore, replying specifically to the major question in paragraph 7 of the Secretary of State's memorandum of 4 August 1949, the Joint Chiefs of Staff do not regard Formosa and the Pescadores as of sufficient military importance to the United

* NSC 37/3
** Memo for NSC from Executive Secretary, subject, "The Strategic Importance of Formosa", dated April 4, 1949.

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States, under the circumstances set forth above, to commit United States forces to their occupation under conditions short of war and on the assumption that in the absence of military measures these islands will sooner or later come under Communist control.

With respect to the suggested possible variations of the situation as it might be encountered:

a. Occupation, in the face of military opposition from Nationalist forces or later attack from the mainland by the Communists, is definitely not recommended since such a situation could easily lead to the necessity for relatively major effort, thus making it impossible then to meet more important emergencies that might develop elsewhere; and

b. Occupation by agreement with the existing authorities on the islands, with implicit responsibility for the maintenance of internal security and external defense, would not be so direct a step toward military embarrassment as the variation in subparagraph a above. This form of occupation, however, assuming that it could be arranged under our present relations with the Chinese Nationalists, is also not recommended since it would be a commitment which could hardly be reversed if quite possible developments demanded further military commitment, extending again to relatively major effort.

Although the Joint Chiefs of Staff are of the opinion, on balance, that if Communist domination of Formosa cannot be denied by diplomatic and economic steps, military measures instead of or in support of diplomatic and economic efforts would be unwise, they must point out, as they have previously stated, that future circumstances, extending to war itself, might make overt military action with respect to Formosa eventually advisable from the over-all standpoint of national security. They believe that it is better, however, to face this future contingency as one of the many military problems that must be considered in the event of incipient or actual overt war than to risk undue military commitment in the Formosan area under present circumstances.

With respect to the requested comments from the military point of view on other pertinent aspects of the Secretary of State's memorandum, the Joint Chiefs of Staff believe:

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a. That the probabilities of the Formosan situation make it more than ever necessary that every effort be made to forestall any weakening of the over-all United States position with respect to the Philippines, the Ryukyus, and Japan, in view of the greatly magnified importance of retention of our off-shore control in the Western Pacific area as a result of developments on the Asiatic mainland;

b. That the Formosan situation, as a part of the whole Asiatic problem, is pertinent to the consideration that is now being given to our over-all Asiatic policy by the National Security Council; and

c. That the suggested possibility of future joint or concerted Formosan action with other governments within or without the framework of the United Nations would, from the military viewpoint, have serious implications in that our military involvement in Formosa might differ little in degree from that envisaged as a result of unilateral occupation.

For the Joint Chiefs of Staff:

/s/ Omar N. Bradley

OMAR N. BRADLEY,
Chairman,
Joint Chiefs of Staff

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